7.1.4. Meaning of Procedure:

The term procedure denotes a planned sequence of operations for handling recurring business transactions uniformly and consistently. Procedure is a routine, which has been planned in advance in order to handle recurring business operations uniformly step by step. It is a guide to management as to who should do, what, how, and when.

Some Organizations have a written record of systems and procedures; it may be in book form or loose-leaf form.



Fig. 7.1. Office Procedures

7.1.5. Definition:

According to **Charles O. Liberty** "Office procedures are a series of clerical acts organized under supervision to accomplish the purpose of the office"

Zane K. Quible has given the following definitions of system, procedure and method.

System: Interrelated procedure necessary to achieve a well defined goal.

Procedure: Related method necessary to complete a work process.

Method: Specific clerical or mechanical operations or activities.

To illustrate the system concept, a system designed for purchasing office supplies (purchasing system) is presented as:

Procedure 1: Select Sources of Supply:

Methods:

A. Fill out quotation form.

B. Send forms to prospective vendors

C. Obtain quotations from vendors.

D. Catalogue of respective quotations

Procedure 2: Order Supplies:

Methods:

A. Fill out purchase order

B. Send purchase order to vendor

Procedure: 3. Receive Supplies:

Methods:

A: Check order to verify quantity and acceptability

B. Deliver supplies to appropriate departments.

C. Notify accounts payable.

7.1.6. Importance of Systems and Procedures:

1. In the system concept a uniform procedure is followed for similar transaction, so it helps to reduce errors and waste motion of machine operations.

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